Week 5

Industry and Competitor Analysis

MG4011

Instructor: Dr. Saif Maqbool

Reading Book Chapter: 05

Book Name: Entrepreneurship by Bruce R. Barringer & R. Duane Ireland 6e

Learning Objectives – Chapter 5

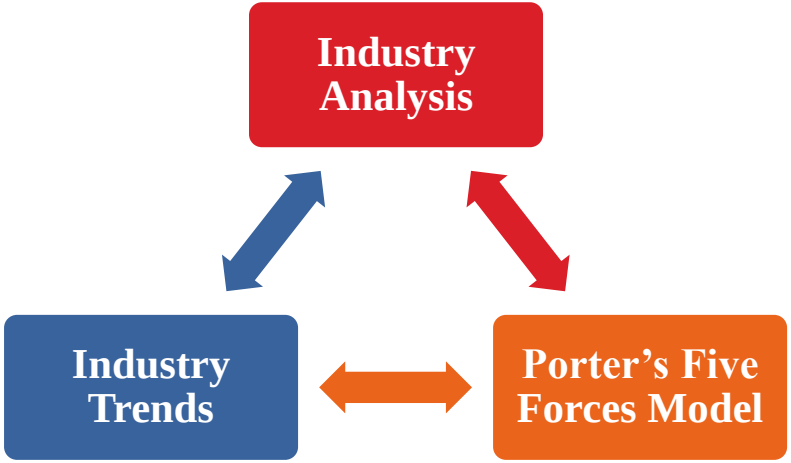
1. Explain the purpose of an industry analysis.
2. Identify and discuss the five competitive forces that determine industry profitability.
3. Explain the value that entrepreneurial firms create by successfully using the five forces model.
4. Identify the five primary industry types and the opportunities they offer.
5. Explain the purpose of a competitor analysis and a competitive analysis grid

Industry Analysis

- **Industry** is a group of firms producing a similar good or services such as Computers, Books, Toys etc.
- **Industry analysis** is an overall assessment of the marketplace where a product/service is going to be launched.

Importance

- Once it is determined that a new venture is feasible regarding the industry and market in which it will compete, a more in-depth analysis is needed to learn the ins and outs of the industry.
- The analysis helps a firm determine if the target market it identified during feasibility analysis is favourable for a new firm.



Three Key Questions

Q1. *Is the industry accessible—in other words, is it a realistic place for a new venture to enter?*

Q2. *Does the industry contain markets that are ready for innovation or are underserved?*

Q3. *Are there positions in the industry that will avoid some of the negative attributes of the industry as a whole?*

Techniques Available to Assess Industry Attractiveness

- Assessing Industry Attractiveness

1. Study Environmental and Business Trends
2. The Five Competitive Forces Model
3. Competitors Analysis

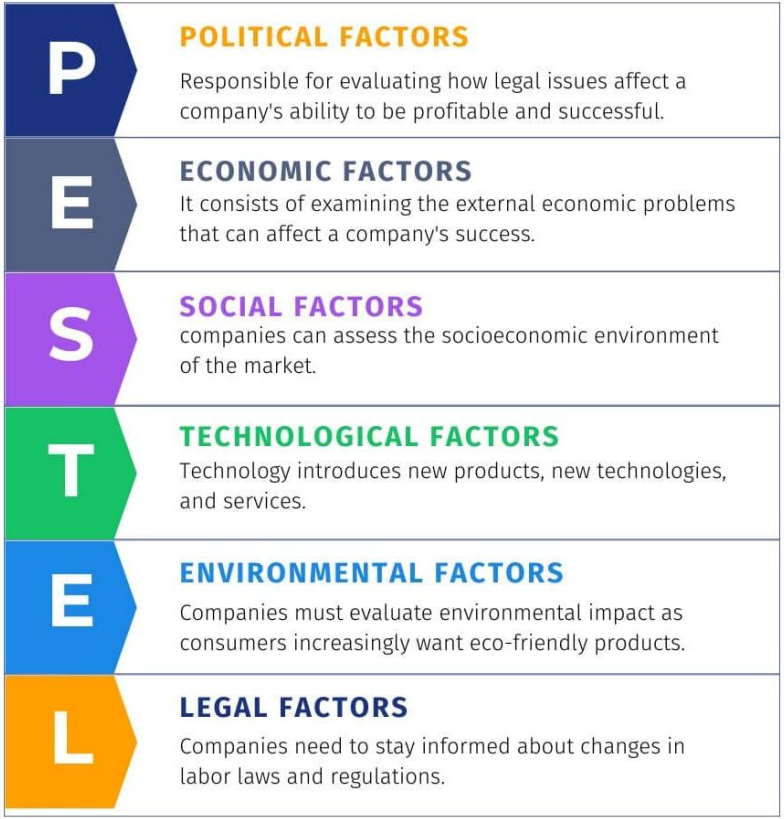
Studying Industry Trends

- **Environmental Trends**
  - The strength of an industry often surges or wanes because environmental trends shift in favor or against the industry.
  - Environmental trends include economic, social, technological, political and regulatory changes.
  - For example, companies in industries selling products to seniors, such as the hearing aid industry, benefit from the social trend of the ageing of the population.
- **Business Trends**
  - Other trends affect industries that aren't environmental trends per se but are part of the core nature of an industry.
  - For example, firms in some industries benefit from an increasing ability to outsource manufacturing or service functions to lower-cost foreign labor markets. In contrast, firms in other industries don't share this advantage.

Studying Industry Trends

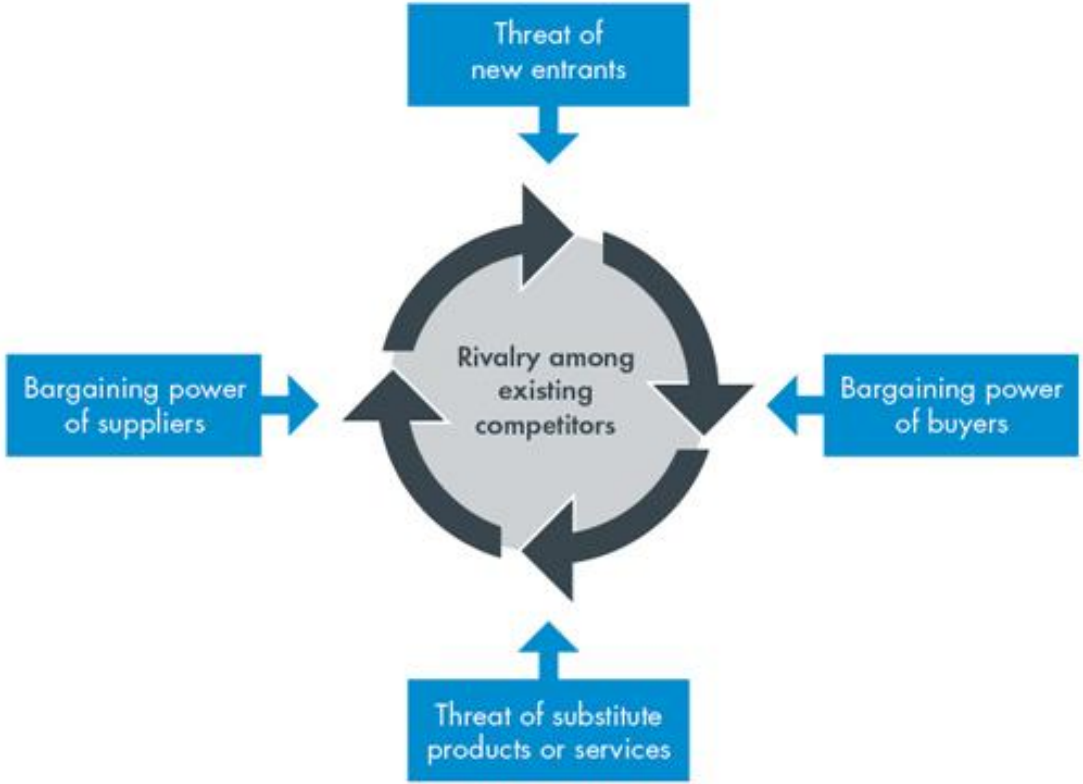
PESTEL

- A PESTEL analysis is a tool that helps you analyze the political, economic, social, technological, environmental, and legal factors that may influence your market and industry.
- It can help you understand the macro-environmental forces that may create opportunities or challenges for your business, as well as the implications for your strategy and operations.
- To conduct a PESTEL analysis, you can use a checklist or a diagram to identify and evaluate the relevant factors for your market and industry.



Porter's Five Forces Model

- The five competitive forces model is a framework for understanding the structure of an industry.
- Each of the five forces impacts the average rate of return for the firms in an industry by applying pressure on industry profitability.
- Well-managed firms try to position their firms in a way that avoids or diminishes these forces—in an attempt to beat the average rate of return of the industry.



Porter's Five Forces Model

Threat of Substitutes

Threat of Substitutes

- The price that consumers are willing to pay for a product depends in part on the availability of substitute products.
- For example, there are few, if any, substitutes for prescription medicines, which is one of the reasons the pharmaceutical industry is so profitable.
- In contrast, when close substitutes for a product exist, industry profitability is suppressed, because consumers will opt out if the price gets too high.
- The extent to which substitutes suppress the profitability of an industry depends on the propensity for buyers to substitute between alternatives.
- This is why firms in an industry often offer their customers amenities to reduce the likelihood that they will switch to a substitute product, even in light of a price increase.

Porter's Five Forces Model

Threat of New Entrants

Threat of New Entrants

- If the firms in an industry are highly profitable, the industry becomes a magnet to new entrants.
- Unless something is done to stop this, the competition in the industry will increase, and average industry profitability will decline.
- Firms in an industry try to keep the number of new entrants low by erecting barriers to entry.
  - A barrier to entry is a condition that creates a disincentive for a new firm to enter an industry.

Porter's Five Forces Model

Threat of New Entrants

Barrier to Entry	Explanation
Economies of Scale	Industries that are characterized by large economies of scale are difficult for new firms to enter, unless they are willing to accept a cost disadvantage.
Product differentiation	Industries such as the soft drink industry that are characterized by firms with strong brands are difficult to break into without spending heavily on advertising.
Capital requirements	The need to invest large amounts of money to gain entrance to an industry is another barrier to entry.

Barrier to Entry	Explanation
Cost advantages independent of size	Existing firms may have cost advantages not related to size. For example, the existing firms in an industry may have purchased land when it was less expensive than it is today.
Access to distribution channels	Distribution channels are often hard to crack. This is particularly true in crowded markets, such as the convenience store market.
Government and legal barriers	Some industries, such as banking and broadcasting, require the granting of a license by a public authority to compete.

Porter's Five Forces Model

Threat of New Entrants

Barrier to Entry	Explanation
Strength of management team	If a start-up puts together a world-class management team, it may give potential rivals pause in taking on the start-up in its chosen industry.
First-mover advantage	If a start-up pioneers an industry or a new concept within an industry, the name recognition the start-up establishes may create a barrier to entry.
Passion of the management team and employees	If the employees of a start-up are motivated by the unique culture of a start-up, and anticipate a large financial reward, this is a combination that cannot be replicated by larger firms.
Unique business model	If a start-up is able to construct a unique business model and establish a network of relationships that makes the business model work, this set of advantages creates a barrier to entry.
Internet domain name	Some Internet domain names are so "spot-on" that they give a start-up a meaningful leg up in terms of e-commerce opportunities.
Inventing a new approach to an industry	If a start-up invents a new approach to an industry and executes it in an exemplary fashion, these factors create a barrier to entry for potential imitators.

Porter's Five Forces Model

Rivalry Among Existing Firms

Rivalry Among Existing Firms

- In most industries, the major determinant of industry profitability is the level of competition among existing firms.
- Some industries are fiercely competitive, to the point where prices are pushed below the level of costs, and industry-wide losses occur.
- In other industries, competition is much less intense and price competition is subdued.
- Factors that determine the intensity of the rivalry among existing firms in an industry

Porter's Five Forces Model

Rivalry Among Existing Firms

Rivalry Among Existing Firms

Number and balance of competitors	The more competitors there are, the more likely it is that one or more will try to gain customers by cutting its price.
Degree of difference between products	The degree to which products differ from one producer to another affects industry rivalry.
Growth rate of an industry	The competition among firms in a slow-growth industry is stronger than among those in fast-growth industries.
Level of fixed costs	Firms that have high fixed costs must sell a higher volume of their product to reach the break-even point than firms with low fixed costs.

Porter's Five Forces Model

Bargaining Power of Suppliers

Bargaining Power of Suppliers

- Suppliers can suppress the profitability of the industries to which they sell by raising prices or reducing the quality of the components they provide.
- If a supplier reduces the quality of the components it supplies, the quality of the finished product will suffer, and the manufacturer will eventually have to lower its price.
- If the suppliers are powerful relative to the firms in the industry to which they sell, industry profitability can suffer.

Porter's Five Forces Model

Bargaining Power of Suppliers

Bargaining Power of Suppliers

Supplier concentration	When there are only a few suppliers that supply a critical product to a large number of buyers, the supplier has an advantage.
Switching costs	Switching costs are the fixed costs that buyers encounter when switching or changing from one supplier to another. If switching costs are high, a buyer will be less likely to switch suppliers.
Attractiveness of substitutes	Supplier power is enhanced if there are no attractive substitutes for the products or services the supplier offers.
Threat of forward integration	The power of a supplier is enhanced if there is a credible possibility that the supplier might enter the buyer's industry.

Porter's Five Forces Model

Bargaining Power of Buyers

Bargaining Power of Buyers

- Buyers can suppress the profitability of the industries from which they purchase by demanding price concessions or increases in quality.
- For example, the automobile industry is dominated by a handful of large companies that buy products from thousands of suppliers in different industries. This allows the automakers to suppress the profitability of the industries from which they buy by demanding price reductions.

Porter's Five Forces Model

Bargaining Power of Buyers

Bargaining Power of Buyers

Buyer group concentration	If there are only a few large buyers, and they buy from a large number of suppliers, they can pressure the suppliers to lower costs and thus affect the profitability of the industries from which they buy.
Buyer's costs	The greater the importance of an item is to a buyer, the more sensitive the buyer will be to the price it pays.
Degree of standardization of supplier's products	The degree to which a supplier's product differs from its competitors affects the buyer's bargaining power.
Threat of backward integration	The power of buyers is enhanced if there is a credible threat that the buyer might enter the supplier's industry.

Application of Porter's Five Forces Model

Assessing Industry Attractiveness Using the Five Forces Model

Competitive Force	**Threat to Industry Profitability Low**	**Threat to Industry Profitability Medium**	**Threat to Industry Profitability High**
Threat of substitutes			
Threat of new entrants			
Rivalry among existing firms			
Bargaining power of suppliers			
Bargaining power of buyers			

Instructions:

Step 1: Select any industry.

Step 2: Determine the level of threat to industry profitability for each of the forces (low, medium or high).

Step 3: Use the table to develop an overall feel for the attractiveness of the industry.

Step 4: Use the table to identify the threats that are most often relevant to industry profitability.

Industry Types and the Opportunities They Offer

- **Emerging Industries**
  - Industries in which standard operating procedures have yet to be developed.
    - Opportunity: First-mover advantage.
- **Fragmented Industries**
  - Industries that are characterized by a large number of firms of approximately equal size.
    - Opportunity: Consolidation.

Industry Types and the Opportunities They Offer

- **Mature Industries**
  - Industries that are experiencing slow or no increase in demand.
    - Opportunities: Process innovation and after-sale service innovation.
- **Declining Industries**
  - Industries that are experiencing a reduction in demand.
    - Opportunities: Leadership, establishing a niche market, and pursuing a cost reduction strategy.
- **Global Industries**
  - Industries that are experiencing significant international sales.
    - Opportunities: Multidomestic and global strategies.

Market Analysis

- **Market:** Set of Actual and Potential Costumers and Users are known as Market.

Market Types:

- **Business to Business:** one business selling good or services to another business
- **Business to Consumer:** Business that sells products or provides services to end user/consumers/Costumers.

Know Your Customers

- Who is going to buy the product or service? Describe the customers.
- Why will they buy it?
- What needs do they want the product or service to meet?
- How big is the market?
- Are there competitors? If so, why should customers buy your product or service rather than that of competitor?
- Is the product or service unique in any way?

Competitor Analysis

A competitor analysis is a detailed analysis of a firm's competition.

- It helps a firm understand the positions of its major competitors and the opportunities that are available.
- A competitive analysis grid is a tool for organizing the information a firm collects about its competitors

Direct Competitors	Indirect Competitors	Future Competitors
Businesses offering identical or similar products	Businesses offering close substitute products	Businesses that are not yet direct or indirect competitors but could be at any time

Sources of Competitive Intelligence

Collecting Competitive Intelligence

- To complete a competitive analysis grid, a firm must first understand the strategies and behaviors of its competitors.
- The information that is gathered by a firm to learn about its competitors is referred to as competitive intelligence.
- A new venture should take care that it collects competitive intelligence in a professional and ethical manner.

Ethical ways to obtain information about competitors

- Attend conferences and trade shows.
- Purchase competitors' products.
- Study competitors' Web sites and social media sites.
- Set up Google e-mail alerts.
- Read industry-related books, magazines, and Web sites.
- Talk to customers about what motivated them to buy your product as opposed to your competitor's product.

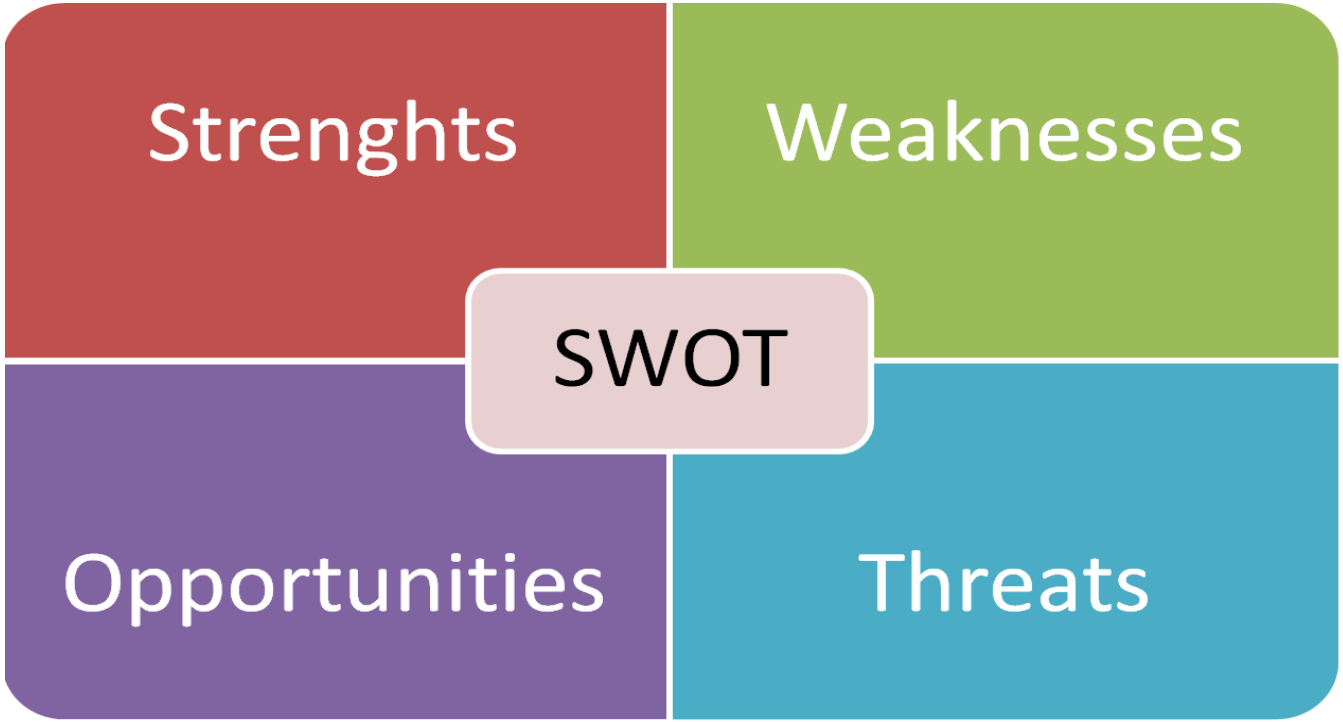
Completing a Competitive Analysis Grid

- Competitive Analysis Grid
  - A tool for organizing the information a firm collects about its competitors.
  - A competitive analysis grid can help a firm see how it stacks up against its competitors, provide ideas for markets to pursue, and identify its primary sources of competitive advantage.

Competitive Analysis Grid for Panera Bread

Name	Panera Bread	McAlister's Deli	Chipotle Mexican Grill	Panda Express	Qdoba
Price	Even	Even	Even	Advantage	Even
Selection	Even	Even	Disadvantage	Disadvantage	Disadvantage
Perception of providing good, wholesome food	Advantage	Even	Even	Disadvantage	Even
Dining environment	Advantage	Even	Even	Disadvantage	Disadvantage
Speed of service	Even	Even	Advantage	Advantage	Advantage
Availability of Gluten free, non-GMO, organic, etc.	Even	Even	Even	Disadvantage	Even
Social Consciousness/ Philanthropy	Advantage	Even	Advantage	Even	Even

SWOT Analysis



SWOT Analysis

- Strengths-Opportunities (SO)
- Weaknesses-Opportunities (WO)
- Strengths-Threats (ST)
- Weaknesses-Threats (WT)

- **SO** strategies use a firm's internal strengths to take advantage of external opportunities
- **WO** strategies improve internal weaknesses by taking advantage of external opportunities
- **ST** strategies use a firm's strengths to avoid or reduce the impact of external threats
- **WT** strategies defensive tactics aimed at reducing internal weakness and avoiding external threats

SWOT Analysis

There are eight steps involved in constructing a SWOT Matrix:

1. List the firm's key external **opportunities.**
2. List the firm's key external **threats.**
3. List the firm's key internal **strengths.**
4. List the firm's key internal **weaknesses.**
5. Match internal strengths with external opportunities and record the resultant SO Strategies in the appropriate cell.
6. Match internal weaknesses with external opportunities and record the resultant WO Strategies.
7. Match internal strengths with external threats and record the resultant ST Strategies.
8. Match internal weaknesses with external threats and record the resultant WT Strategies.

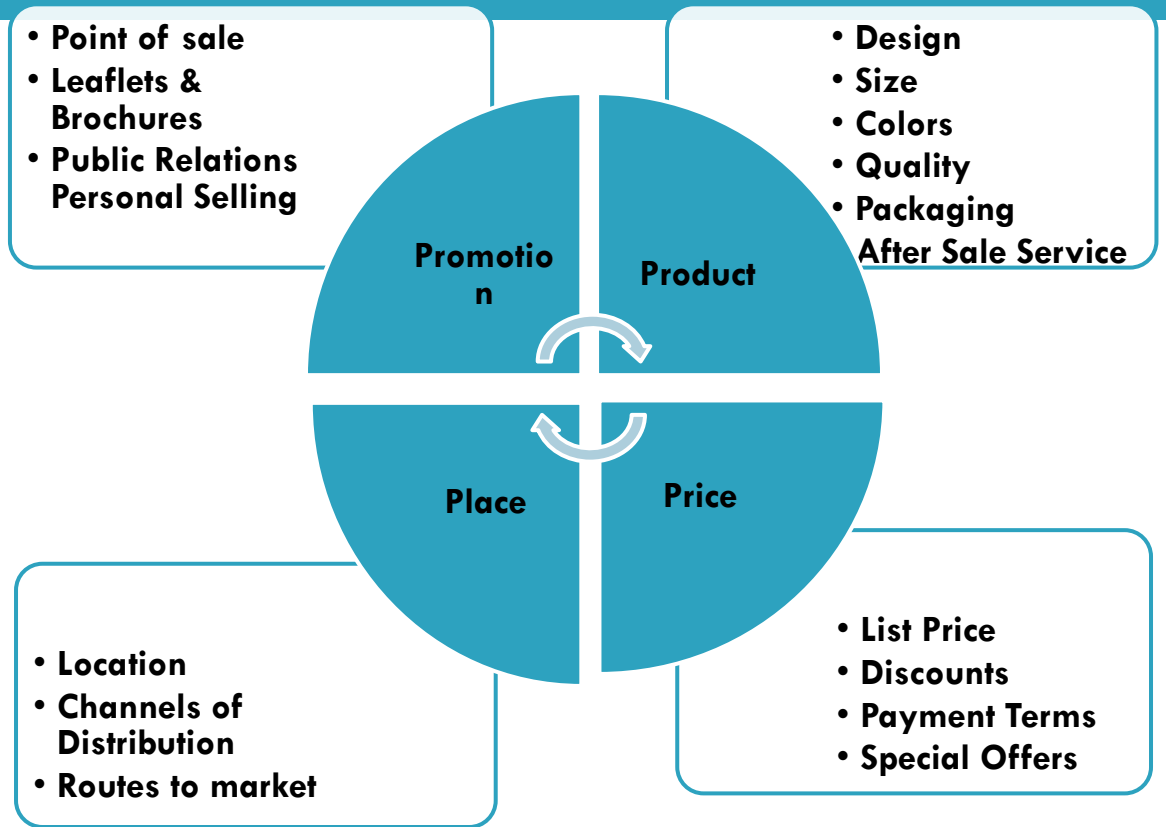
SWOT Analysis - Example

A SWOT Matrix for a Retail Computer Store

Strengths	Weaknesses
1. Inventory turnover up 5.8 to 6.7	1. Software revenues in store down 12%
2. Average customer purchase up $97 to $128	2. Location of store hurt by new Hwy 34
3. Employee morale is excellent	3. Carpet and paint in store in disrepair
4. In-store promotions = 20% increase in sales	4. Bathroom in store needs refurbishing
5. Newspaper advertising expenditures down 10%	5. Total store revenues down 8%
6. Revenues from repair/service in-store up 16%	6. Store has no Web site
7. In-store technical support persons have MIS degrees	7. Supplier on-time-delivery up to 2.4 days
8. Store's debt-to-total assets ratio down 34%	8. Customer checkout process too slow
	9. Revenues per employee up 19%

Opportunities	SO Strategies	WO Strategies
1. Population of city growing 10%	1. Add 4 new in-store promotions monthly (S4,O3)	1. Purchase land to build new store (W2, O2)
2. Rival computer store opening 1 mile away	2. Add 2 new repair/service persons (S6, O5)	2. Install new carpet/paint/bath (W3, W4, O1)
3. Vehicle traffic passing store up 12%	3. Send flyer to all seniors over age 55 (S5, O5)	3. Up Web site services by 50% (W6, O7, O8)
4. Vendors average six new products/yr		4. Launch mailout to all Realtors in city (W5, O7)
5. Senior citizen use of computers up 8%		
6. Small business growth in area up 10%		
7. Desire for Web sites up 18% by Realtors		
8. Desire for Web sites up 12% by small firms		

Threats	ST Strategies	WT Strategies
1. Best Buy opening new store in 1yr nearby	1. Hire two more repair persons and market these new services (S6, S7, T1)	1. Hire 2 new cashiers (W8, T1, T4)
2. Local university offers computer repair	2. Purchase land to build new store (S8, T3)	2. Install new carpet/paint/bath (W3, W4, T1)
3. New bypass Hwy 34 in 1 yr will divert traffic	3. Raise out-of-store service calls from $60 to $80 (S6, T5)	
4. New mall being built nearby		
5. Gas prices up 14%		
6. Vendors raising prices 8%		

Marketing Mix

Marketing Mix